Stephanie Pomboy: "Buckle Up" For 2027 - The Market Is Going To Be "Brutal"

Podcast: Thoughtful Money

AI Executive Summary

Core Thesis

The episode discusses the macroeconomic landscape, focusing on inflation, interest rates, and the potential for a bear market. Stephanie Pomboy, a macroeconomic expert, and Adam Taggart, the host of Thoughtful Money, explore the implications of recent economic data, particularly the Consumer Price Index (CPI) and Producer Price Index (PPI), on various asset classes and the broader economy. The core thesis is that while the immediate inflation concerns may be overblown, the underlying economic conditions suggest a more challenging environment ahead, characterized by potential interest rate hikes, rising inflation, and a possible bear market. The hosts emphasize the need for investors to prepare for a volatile market and consider diversifying their portfolios to protect against economic downturns.

Key Arguments & Data

- **Inflation and CPI**: The CPI data showed a 0.4% increase, higher than expected, leading to concerns about inflation. However, Stephanie argues that this is largely a rearview mirror phenomenon, driven by government shutdowns and recent oil price declines. She points out that producer prices (PPI) are outpacing consumer prices, indicating pricing margin pressure on companies.
- **Consumer Spending and Affordability**: Consumer spending remains robust, but it is driven by essential goods and services rather than discretionary spending. Stephanie highlights that 96% of September consumer spending was non-discretionary, with significant increases in gasoline and energy goods. The reliance on buy-now-pay-later (BNPL) services and home equity lines of credit (HELOCs) underscores the financial strain on consumers.
- **Interest Rates and Bond Yields**: The hosts discuss the potential for rising interest rates, with Stephanie noting that the 10-year Treasury yield may continue to rise over the long term. However, she cautions

against trading short-term yields, as they can be volatile. Stephanie also discusses the risks of a bear market, particularly in the corporate sector, state and local governments, and the federal government, which could lead to a significant economic slowdown and necessitate further monetary easing.

- **AI and Data Centers**: The election results have introduced new risks to the AI sector, particularly regarding data center rollouts and potential regulatory constraints. Stephanie and Adam discuss the implications of these risks for the broader economy and market dynamics.
- **Precious Metals and Hard Assets**: Stephanie maintains a bullish outlook on precious metals, despite recent sell-offs, citing strong demand from China and the macroeconomic case for gold. She advises investors to hold short-term treasury bonds and consider other energy and hard asset plays.

Actionable Takeaways

1. **Prepare for Volatility**: Investors should be prepared for a volatile market environment, with potential interest rate hikes and a possible bear market.
2. **Diversify Portfolios**: Diversify investments to include precious metals, short-term treasury bonds, and other hard assets to protect against economic downturns.
3. **Monitor Key Indicators**: Keep an eye on key economic indicators such as the PPI, CPI, and payroll reports, as well as oil prices, which can significantly impact inflation expectations.
4. **Consider Professional Advice**: For personalized financial advice, consider scheduling a free consultation with professional financial advisors endorsed by Thoughtful Money.
5. **Stay Informed**: Stay updated on macroeconomic trends and geopolitical events that could impact the economy and markets.
6. **Prepare for Potential Bear Market**: Given the interconnectedness of the economy, prepare for a potential bear market that could have far-reaching consequences, including reduced retail spending and increased government intervention.

Diarized Transcript

SPEAKER_00: Like I said, buckle up. There's going to be a lot coming at us. There has been over the last few months, but I think that the market gyrations are going to get pretty wild. And it's going to be brutal in a way that we haven't experienced.

SPEAKER_02: Welcome to Thoughtful Money. I'm Thoughtful Money founder and your host, Adam Taggart. Very happy to be welcoming the macro maven herself, Stephanie Pomboy, back to the channel for her monthly macro update for all of us. Thoughtful Money aficionados. Steph, thanks so much for joining us. Thank you for having me. I'm trying to think of something upbeat that I can talk to you about today. I know. As we're recording this, markets are off not nearly as much as they were off last week, last Thursday. but a lot to talk about. It's the first time you've been on since the midterm elections, and we just have a lot of things that we could chat about, but let's start with today's news, which is the hot CPI data that came in. It came in at, what was it, 0.4% month over month, which was higher than the 0.3% expectation, and it's been higher than previous data points in the data set here. So folks are starting to get real worried that inflation is picking back up again. We had a Fed speaker come out today, it was Waller, who basically said before the CPI print came out and said, I'm in favor of a 25% rate hike unless it comes in at 0.3% and then it came in at 0.4%. So obviously everybody's freaking out that, oh my god, the Fed is probably going to hike 50% maybe at the next Fed meeting. We've seen the rate hike odds jumped to like 99% for a quarter basis point hike in December and then the odds for rate hikes going up next year in early 2027 are now jumping. And of course, you're seeing stock sell off on this, you're seeing the precious metals get kneecapped, and you're seeing Bitcoin really get kicked in the crotch here. So a lot of sell offs on rate sensitive assets. What's your general take here on the CPI? Is this showing that we're heading into further inflation or is this looking in the rear view mirror? Because concurrently, we're seeing oil prices come down pretty hard this week. Well, I think that clearly it is rear view mirror. The one positive

SPEAKER_00: About this report is due to the government shutdown. We don't have a year on year comparison to last October because I would assume that that headline number would probably scare people even more. But I do think that you're right. We've seen a sharp decline in oil prices post election on the idea that this Iran situation is going to get wrapped up and therefore oil prices are going to come back to pretty much where they were before if not lower. And I think what you saw before this morning's CPI number within the bond market is that that reduced inflation expectation tied to the oil decline was pretty much the entire reason why the long end of the yield curve was going down. So now you're seeing it start to get pushed back in there a little bit more inflation expectation. You know, and I always come back to on the inflation thing is this is this is consumer prices that we're measuring. And, you know, I'm a broken record on this front, but if you go through the detail on the consumer, this notion that consumers are the consumer is strong is one that I still will emphatically push back on and. You know, we can go into some detail on that, but based on what I see in terms of mounting consumer stress. And the share of the spending that's going to all the things that they have no choice, but to buy. I believe that the ability for companies to pass along. Higher prices is already challenged and is going to get more and more challenged. As the shift in policy post election, uh, it's less supportive of economic activity and therefore, uh, more detrimental to employment and real wages. And that will further the pressure on consumers. And essentially what you've already seen, and we'll get the number, um, on, uh, do we get it tomorrow or Thursday on Friday? We get the PPI, um, but we've already seen. If you look at how fast the PPI, the producer price inflation is going up, it is now outstripping the CPI by the largest amount since COVID. So that implies some real pricing margin pressure for companies that right now, of course, no one sees because the AI boom and all this circular financing and paper earnings associated therewith are inflating. these headline earnings numbers. But I think when you look at the consumer facing companies, their position is different and not nearly as strong. Obviously, you see that reflected in the share of. bankruptcy filings that are consumer discretionary companies, et cetera. So again, I'm a broken record, but long story short, I think that this hysteria today about the CPI being stronger and the Fed having to tighten will probably flip entirely the other way in reasonably short order as it becomes clear that the results of

the election are not growth positive and therefore are not going to be fanning the

SPEAKER_02: flames of inflation in any meaningful form or fashion. Okay and so don't put words in your mouth but my guess is that your future inflation outlook is that things will start to disinflate. as we get further into 2027 here, largely in some ways because the cure for high prices is high prices. You're saying consumers are getting to the point where they just really can't absorb any more price increases and so they're going to be, and probably already are, tightening their belts. So first off, is that fair? Yeah. The big caveat though is we're coming into the holiday season and the end of the year. So I think that I don't see that playing out necessarily in the next couple of weeks. I think

SPEAKER_00: Consumers, you know, remember, uh, from, uh, trading places where you've got to get Timmy the G. I. Joe with a kung-fu grip for Christmas. So I think to the extent that the consumers are already relying on buy now pay later and running up credit cards and increasingly home equity lines of credit to fund expenditures that will probably continue through the end of the year to get through the holiday season. And then, you know, we'll get into 2027 and, uh,

SPEAKER_02: things will tighten up pretty sharply and I think that's when these expectations for further rate hikes will start to be challenged in the market. I don't know if you had a chance to really dig into today's CPI number yet, but there are a couple of things here that caught my eye. What's driving this month's number were increases in shelter, food, and energy. Energy, no big surprise. oil prices have been high, gas prices have been high. But as you said, very recently now, we're starting to see that come down. In fact, gas just broke below the average cost of a gallon of gas nationwide, just broke below 4 since I think July. I'm sure Republicans are looking at that data and saying, why couldn't that have arrived a week or two sooner? Oh well. So energy may already be starting to Food, I get, that's largely a factor of energy costs, but shelter went up and that accounted for over 30% of the monthly gain in CPI this month. I had thought that shelter was kind of disinflating, that rents were disinflating. Do you have any idea why we would see such a jump in shelter costs right now?

SPEAKER_00: Well, I think that energy does feed into that, too, because you have housing utilities. So you'd have to look at that component. And it is now, believe it or not, I can't even believe we're halfway through November already. So you might be starting to see some impact of that. And then didn't we have a spate of very cold weather back in October? I feel like we had some freak. storms. But anyway, that's just speculation. I would guess there's also, within that shelter component, insurance and other non-structural related costs associated with housing. So, you know, also I would just say that, like the CPI in general, these numbers are very lagging. So you'll see things, for example, if you're trying to conflate home prices with and rents with the shelter component, you're going to have to give it a long fuse before changes in rents and home price actually come through and are reflected in the data. I mean, I remember looking at the overlay of the existing home price, for example, with the shelter component. And I seem to recall it being at least a year, mostly more like 18 months before

SPEAKER_02: before they start to correlate. Yeah, and I think a reason for that is that shelter is largely computed as an owner's equivalent rent, so it looks at rents and home prices have been artificially distorted to the upside right now given the fact that The only people who can really afford to transact right now are the rich people and therefore that's keeping that up But rents have been have been disinflating and actually I think they've been deflating Which is sort of why I was surprised to see this bump now. Maybe it's a one-month blip Who knows and I'm happy to dig deeper with you know, some other housing analysts who might watch this a little bit more closely but the reason I bring this up is because It's entered the discussion a lot this year that kind of no matter what happens with other things if shelter continues disinflating or even deflating as rents come down, that's going to weigh disproportionately on the CPI because it's such a big component of the calculation. But again, it's going up in this month's episode, so I'm just curious if that's a... I would note, and I think I mentioned this to you before, I was at this conference a few years ago and one of the people they had speak

SPEAKER_00: was a guy who, I don't know, he must be a real masochist, whose entire business was to dissect the CPI and to forecast that number. And so he was familiar with how they calculate every single little

component, every subset of the CPI. And he said on the rent side that there's a disproportionate waiting, like a massively disproportionate waiting for some big urban centers like Manhattan, in Boston. And so where I think nationwide you've seen rents deflate, I don't think that you're seeing that in Manhattan or any major urban centers that I'm aware of. So that could be another factor. Again, I think it really comes back to you can't place too much stock in these monthly. statistics, whether they be the inflation statistics or the payroll statistics, you really have to look at a trend over a period of time to see what's happening there and look at it in the context of a whole bunch of private sector data to see if you're finding confirmation or not because the way they measure this stuff is highly massaged. I'll dig more into this whole shelter component, folks.

SPEAKER_02: The affordability has been front and center for a good long while, but certainly this year, and especially as we got closer to the midterms, it really kind of became the thing that the election pivoted on. So a couple of questions for you about that. One is on the CPI, or sorry, on consumer spending, which has still hung in there, right? And you just talked about how you wouldn't surprise you if it continues to for the next couple months as everybody rushes to buy the GI Joe with the Kung Fu Grip for the holidays. But you had a quote, and I'm trying to remember where I saw it, but it was something like, it's not that spending is remaining robust because people want to spend, it's because they have to spend. It's just how much kind of what they need costs. So even though

SPEAKER_00: the spending is hanging in there, it's more just because the price of their essentials is going up and they obviously need the essentials. It's not people rushing out there to buy a bunch of luxuries. Right. No, that's absolutely true. I was just going to go look for this table I had done breaking down. We got September PCE, the actual consumer spending report, a couple of weeks ago. Within that, obviously, gasoline was a huge increase. In the month of September, consumer spending, nominal total dollars spent was 113 billion. 46 billion of that. So almost half of it was gasoline and energy goods. Another 20 billion was transportation. So that's gasoline. And the third one is housing and utilities, which was 18 billion. And then you get down, the next thing below that is food and then health care. Long story short, if you add up all the things people have no choice

but to spend on, I calculated that 96% of the consumer spending in the month of September was non-discretionary stuff. So of the 113 billion they spent in a month, 4 billion was by choice and everything else. And then just to go into it further, there is a component of spending called recreation services. And that posted The largest decline, I think the. 3rd largest decline in the history that goes back to, you know, 1960 of that series on a percent basis, not on a dollar basis, because that wouldn't be meaningful at all, but on a on a percent basis. So it just underscores this this idea that consumers people look at the headline spending and they say it's solid and they're making 2 mistakes. Number 1, the headline spending numbers aren't. deflated by the prices. So it's not telling you anything about the number of units people are buying. It's telling you how much you're spending each month. So what we've seen, and I don't need to tell you or anyone in your audience, that when you go to the grocery store, now you buy five items and your bill is 100. And it used to be five years ago, you bought those same five items and your bill was 50. So God forbid, you're increasing the number of units you're buying. But right now, just buying the same number of units is getting you a much higher bill. So first, you've got to adjust for the pricing when you see it. Which is crazy because it makes it look good. Oh, consumer. Right. consumer spending is going up, but it's actually the opposite, which is this guy's getting squeezed more and more by prices. Yeah. Exactly. So it's flattered by the inflation, both the retail sales numbers and the consumer spending numbers that we look at every month. And then, of course, you've got to drill into what they're actually spending the money on. And then the final one, which I keep beating everyone over the head with, is how are they funding that expenditure? And what you've seen in recent years is obviously once the COVID stimulus money ran out. people went back to running up their credit cards. First, they were paying down their credit card balances with the COVID stimulus money. Then they ran up their credit cards. Now they're relying on home equity lines of credit because that's a great way as home prices have gone up to tap some equity, but preserve your low mortgage rates so you can just withdraw equity from there. And then, of course, buy now, pay later, where everyone knows the anecdotes about people buying their hamburger on layaway. These are not indications of a strong, healthy consumer. And of course, you know, it's all masked by the beauty of averages where the Elon Musk of the world buy a couple new, you know, private jets, and it makes consumer spending in the

app look really, you know, nothing against buying private jets, but it's just not, it's distorting the picture of the consumer's health.

SPEAKER_02: What do you think the probability is that Buy Now, Pay Later will morph or metastasize into Buy Now, Default Later? I mean, I feel like it already has, hasn't it, in many cases, and it's just this constant kick the can down the road scenario. I guess at some point... But at some point, these companies, if there's just mass defaults,

SPEAKER_00: bought stuff on Buy Now Pay Later, just can't pay anymore. That's going to ripple through those providers. We're going to start seeing them croak. Yeah. But I guess right now, I mean, I'd have to dig into it, but it feels to me like it's the classic Ponzi scheme where if you can get enough new customers every month to sign up, you can. make up for the fact that all these other people aren't paying their monthly installments. But it does sound to the spirit of my question. You think there's a reckoning coming up where the can can't be kept anymore by these companies, the Ponzians? I definitely think so. And I think without getting political, I think that the conclusion after the election that gridlock is good because now Washington can do no harm is a gross Uh, misapprehension about. This situation that we're in now, because while Washington DC. Maybe handcuffed there are state governors all across the country who have very anti business. Agendas, or at least at a minimum anti fossil fuel agendas, and, you know, campaigned a lot on. Going back to more of the green new deal and all kinds of social supports, etc. That'll be paid for with higher taxes. So I think that. You know, don't fixate so much on Washington when the power is now at the state level and it's being wielded by people who I would say in a non political sense. Are just just passionately. Anti big business, um, and that's probably. On net not going to be positive for economic growth. Um, so that's, you know, I, I think that that will just further. Pressure household pocketbooks, because the employment situation. Is not going to be as great and we didn't talk about centers and AI and any pushback on. The growth associated with that, which seems to be pretty.

SPEAKER_02: almost bipartisan at this point. All right. So I want to talk with you about that very quickly before we get to there. So we had this blue

wave. Affordability seemed to have been the really big driver for the Democrats winning as much as they did. On the federal side, is there any reason to expect that the people who ran and one were elected on a, hey, addressed affordability. Are they really going to be able to do anything? And the reason why I ask that is yes, they've got both houses of Congress, but Trump has the veto pen. He has already created the red hat that says veto on it. So how realistic is it to expect any new policies to drive a change in affordability versus just whatever is in place today, basically persisting and whatever impact it's going to have?

SPEAKER_00: Well, you're kind of asking me to act like a political analyst, which I'm not, but that doesn't restrain me from offering my opinion, which is worth absolutely nothing, but I'll give it to you anyway. Thank you. I place a lot of weight on it still. Don't worry. That disclaimer made. You know what you've seen already in what has it been 72 hours or whatever week, basically, since that election is A lot of breaking of ranks within the Republican Party and some sense of Republicans feeling like if they distance themselves from the president, maybe they can preserve their own reelection when that comes next. We know that's the only thing they care about at the end of the day. That's very common in politics, right? I mean, that's job number one is make sure you get reelected affordability. That's much farther down on the list. Let's be realistic. So the question then becomes how many of these Republicans are actually willing to engage with the Democrats to pass some of this stuff if they think that it might save their asses. pardon me, going forward. My question is, does that even matter if the president says, well, I'm sitting here in the Oval Office. I'm not going to let that policy come to life. He can be to it. Then it goes back. And if they have a super majority. I guess you're right. If they do have that much. Yeah, that's the risk is that you have enough weak need Republicans who feel like they need to protect their own. political careers who just throw in the towel on the things that they had originally campaigned on and now kind of lurch to the left along with the Democrats. So that would be the risk I see. But frankly, I think it's more likely that we just have complete gridlock in Washington and nothing really happens there of any real impact. On in terms of policy, and I'm much more concerned about. What happens at the state level and just generally the ability for states to put up lots of regulation, even if it takes them a long time to do things like pass tax

increases and that kind of stuff to pay for all their. Whatever programs they want to implement regulation is something that you can do very easily and think about how much regulation. Trump has removed at the federal level, they can then be re-erected essentially at the state level. I think the AI data center thing is a very clear example of that. It's interesting to see how that plays out. Let's dig into that. I agree with you, actually. I think the really interesting

SPEAKER_02: economic ramifications from this past election are much more likely to be at the state level versus the federal level for the reason that we mentioned. And you had a number of governors elected on a pretty, if not anti, data center platform. I'm going to tackle these guys. I'm going to slow their role. And to the extent that they would be successful with this in the future, that will have very strong market and economic implications, because the markets have basically been the AI party for the past two and a half years or so. And if that party gets pulled back because, oh, gosh, looks like the rollout is going to be about 20%, 30% less than we thought in terms of its pace, we got to ratchet down our asset prices, that'll have a lot of implications, a lot of negative wealth effects. But also, it's just so much of the economic growth in our GDP right now is from this spending. Even if the money wants to be spent, if it's not going to be allowed to be spent because of constraining regulations and things like that, that's going to have all sorts of impacts, as you hinted earlier, jobs and taxes and all sorts of things. I think this was the narrative for why markets puted last Thursday. Democrats won on this largely anti-AI platform at the local level or at the state level and people started waking up to this. Did the markets just reprice this? Now everything's fairly priced and we're going to move along or do you think this is a shoe or a series of shoes that's going to be dropping over the next couple years? Well, I thought it was not reflected in the market activity after because

SPEAKER_00: Of the decline in the bond yields that long dated bond yields. But when you do, as I mentioned at the top, a little dissection of that, what you find is that most of that. Was driven by the drop in oil prices and I would argue. Whatever was leftover, which is probably like, let's say it was 2 thirds inflation 1 3rd, real yield that real yield was probably a reflection of this hope that the deficit doesn't. get any bigger because we're now going to

have gridlocks and no one can do any harm. And there, again, I think it's a real underestimation because if the state local policies in any way slow economic activity, that immediately blows back to the federal deficit in the form of increased social welfare supports and lower tax revenue. as the economy slows. So the deficit at the federal level will be hugely impacted by any policies that come out of the state and local governments. So I do think that there was an overly sanguine interpretation about how Washington gridlock is good. That was that mantra was going around. It's a little too glib and likely proved to be completely wrong.

SPEAKER_02: Alright, so sounds like we've got some potential risks here to AI just simply on the rollout of data centers that may or may not be impacted by these new governors coming in. Okay, so you've mentioned bond yields a couple of times here. Bond yields have come down over the past month or so to the point where the question has been asked, is the peak of yields in? I'd love to get your thoughts on that and I'd also love to get your thoughts on credit spreads because even though we've had a bit of an easing in yields like for the 10-year treasury and whatnot, we have started to see credit spreads especially on the lower rated debt continue to to widen. And that's always been something that you have said. That's what's going to start alerting me that things are starting to get kind of wonky. And for years, credit spreads had just been tighter than a drum. So it's a different environment that it's been for the past several years. How material is that increasing of the credit spreads right now, do you think? Well, I think a lot of it.

SPEAKER_00: You have a two-edged, I hate to do this, but when credit spreads were going down, everyone was focused on that saying, look, there's no stress in the credit markets. And I kept pointing to the nominal yield saying, nominal yields are going up. So the fact that they're not going up as fast as the 10-year treasury is sort of irrelevant if your borrowing costs are going up. Now you're in a situation where both are going down. And the chunk-rated borrowers that you're talking about, they're borrowing costs aren't going down as fast, but they are going down. So in the immediate, there may be some sense of, well, you know, chunk yields are actually down fractionally from where they were. So maybe we don't have to panic about that. I think where it really starts to become a factor is

Obviously, number one, any issues around this AI trade and this NVIDIA situation and anything that should devolve around that will be interesting to watch and could be meaningful. But also any economic slowdown. If it becomes clear that we are actually going to see some slowdown in activity related to increased or more aggressive regulation at the state and local level, Whether it's related to the specific companies or not will definitely begin to reverberate through the credit markets because at that point, you're talking about an environment where the revenue growth that the corporations need to keep up with the rising cost of debt service isn't there the way it has been this year. I mean, they've been making, you know, profits were up 50 some odd percent in the 1st quarter and 30 some odd in the, you know, these numbers have been gangbusters. So they have. Um, you know, covered a lot of these sins. Um, so if you got to a point where the earnings growth was slowing at the same time, you're not getting relief on the interest rate, but that's when I would worry about it. Um, but these yields are crazy. You know, I'm looking at a junk yield here over 8% where those companies are refinancing paper that was carrying a 4%. Um, you know, coupon before so that's. That's a substantial increase. You have a smaller slash riskier company that its debt service cost has doubled. Correct. Yeah. They better have one hell of a growing business to be able to manage that kind of increase in debt service or a very friendly banker. This is why I think you've seen it's been fascinating to watch. the hot potato back and forth between the banking sector and the private markets where you had, you know, these originally banks were the ones making CNI loans, et cetera. And then they became too expensive. And the private markets came in and said, hey, we'll lend to you a lot cheaper. And then back to the banks. You know, so they keep going back and forth. And we'll see who gets left with their hands on the ball. But I. Long story short, I wouldn't touch any of this stuff in the 10-foot pole. It's just a question of when it blows up. And on the risk-free rate side, which was part of your question, I don't think the peak in rates is in. I mean, I did say if we were going to have this risk-off trade, which I think we're starting to get into, it's choppy. That if it really devolved into a full blown, you know, if you had a bear market for equities, let's say. That the 10 year could get. Bid mostly because you'd have that speculative short that's massive covered in some. Some manner, I think I've been shocked. I watch it every Friday. I look at the CFTC spec short positions and in the 10 year. Even in this move from five three to sub five

They basically are just as short as they were before they have not been persuaded that This market, you know that the 10-year yield is a place to be Now who knows maybe they they're dead wrong But it's just interesting. There's been no capitulation by speculators. The entire decline in the 10-year is being driven by this exodus of retail money from equities into treasuries and maybe some foreign buying, but it's not the bond vigilante is per se. Okay. And that's really interesting. And that's also very validative of question I've been asking a lot recently, which is should we be expecting credit to be pulling money?

SPEAKER_02: the credit markets to be pulling money from the equity markets, given that there is now an alternative for people. And you're one of several people that I've recently had in the channel who have said, yeah, and it's actually happening in real time. For my purposes, not today, but I generally prefer the front end of the yield curve. You're waiting until you feel like the peak's in or it's all clear. Yeah. Well, I feel like the rally in the 10-year

SPEAKER_00: You know, maybe we go to 450, maybe. But I think the path going forward long term for long rates is higher. And I don't need to get cute trying to trade, you know, the next 30, 40 basis points in a move where. you know, three years from now, we're going to be looking at 10-year yields substantially higher. I do think that this notion that the Fed's going to have to get aggressive and tighten because inflation's out of control and growth is so strong is laughable and that that's going to be what gets priced out of the bond market. So I think the front end, again, not today and not ahead of the PPI on Friday, but once we get through this week and cooler heads prevail and people realize we're looking at stale data,

SPEAKER_02: maybe that's an opportunity. Let's just revisit your outlook. I'm guessing from our previous conversations, from what you just said, the 40-year bond bull market's over. We're in a secular era now of rising interest rates that will largely be accompanied by rising inflation or persistent inflation. and continued fiscal profligacy and all that stuff that makes you worried about purchasing power of fair currency and why you won gold and all that stuff. But I presume you also imagine it will be punctuated by periods where rates may get driven down pretty substantially by central

plan or intervention in response to some sort of crisis. You're nodding vigorously as I'm saying this. the 10-year continue going higher over time, five, six plus percent over some long-term timeframe. It wouldn't surprise you to see it get knocked down to three something or whatever during times of market duress or system duress, correct? Well, I think that I've long said that the focus should really be on the Fed's balance sheet. We all fixate, as we are today, on the Fed funds futures and what they're going to do with the Fed funds rate.

SPEAKER_00: Never mind that pulling that lever has had precious little impact. The last several times they've done it either up or down. And yet the balance sheet continues to creep upwards too, right, in this environment? Right. Well, that's the thing is I feel like you know, right now, Besson and Morse have a little bit of the wind at their backs, not in an economic favorable way, but with the 10-year now back below 5%. And so the urgency to really work on the yield curve control and whatnot isn't so great. I think that, you know, my view has always been that it's just a matter of time before non-QE QE becomes just outright QE, and it's not just focused on T-bills, but really all across the maturity spectrum. And in that regard, I thought it was interesting. And finally, I've been dogging the few press people I know to ask Kevin Warsh's question. But finally, in the post-FOMC presser last week or whatever, the last meeting, boy, time flies. It was probably three weeks ago, and it feels like yesterday. Journalist from Korea. I have to note Asked him what the plan was for the balance sheet because he had everyone knows been a outspoken advocate of Running down the balance sheet and doing away with QE and has long said that QE was strictly for emergencies I have a quote taped above my desk, which you can't see here that says nothing is more expensive than free money and Kevin Warsh Said that no, I mean QE is free money And so he's railed against this his entire career and made a name for himself as an anti-ballot sheet kind of guy and here he is running a 40 billion of non QE QE a month and finally at the third press conference some reporter from Korea decides to ask him why he's doing this and he'll never get invited back No soup for you. But so the answer that he gave, you know, he's so glib in these things. He's maybe even better than Alan Greenspan at saying stuff without ever really saying a thing, you know? So his answer was essentially, well, we have a task force on the balance sheet and they're working on their report

and they're going to present it sometime at the end of the first quarter and we'll Have some comments after we get to review that after so basically nothing's happening anytime soon. And by the time, you know, they give that the whole universe will have turned around 37 times and it'll be a totally different world. And who knows what will come of it, but I have long thought that they will go back to QE in a monster fashion. And yeah, but the thing is then.

SPEAKER_02: then I think that's when it becomes more of a currency. This story is entirely about the currency because that becomes the valve for these meddling monetary problems. That's the true cost of the rescue is as you give up all this purchasing power. So again, just to the spirit of the question, you think that bond yields sort of cost of money will be rising secularly over the years from here but punctuated at times with these hammer downs as the

SPEAKER_00: the central planners deem that it's time to intervene. Correct. But I guess what the subtle point I'm trying to make, which I'm not articulating well, is I wouldn't buy it. I wouldn't try to trade those because you're going to lose it all in the nominal dollars that you're transacting. And so you want to have hard asset protection for that. It's not like in an environment where they're doing QE, you want to buy the 10-year. You want to buy precious metals and other hard assets. You don't want to be buying.

SPEAKER_02: the 10-year because the purchasing power of the dollar is going to be eviscerated in that. Correct. The reason I'm digging into this is one, just so folks understand your outlook, but also there may be a role there for credit, but it's short duration credit so that you're benefiting from the rising yields, but you're not going out on duration because duration is kind of your enemy in that sort of rising interest rate environment. Correct?

SPEAKER_00: Correct. Yeah. No, you're absolutely right. I mean, I think a way to say it is that I think that we're in a secular bear market for bonds that will have within it some vicious cyclical rallies as you have in all secular bull and bond bear markets. You have these cyclical ebbs and flows and these cyclical ebbs and flows will be determined either by risk on or off in the markets like we saw the last week or by meddling monetary

SPEAKER_02: policymakers. So either one, like you said, you're probably better off at the front end of the yield curve than sticking your neck out. Yeah. Okay. And I've interviewed several people recently who are, I don't want to say ringing a loud warning bell for maybe both of what you just talked about, which is both market dyspepsia and central banker rescue policies in 2027. Although the one guy who I think is Jim Carson, who I just had on, he actually thinks there's going to be an event, more likely he thinks an early Q1 that it will be enough of a

SPEAKER_00: swift plunge in the market that he thinks that the Fed will actually have to intervene. We'll see if that's going to happen or not. But obviously, that's a playbook that would not surprise you at all. And that's why I was saying I wouldn't wager on the rest of this year. But I think once we get into the first quarter, there's a good chance. I think back, and I think we talked about this in our last conversation, to 2018 with Howell being called to the White House. every day when Trump be rating him to lower rates and he didn't and it to me this is very reminiscent of what we're going through today where you know Trump isn't be rating Kevin Warsh but he's basically didn't be rating the Fed to cut rates and they went ahead and raised them anyway and then finally the markets broke and that's what forced the Fed's hand so I totally see that same scenario that Mr. Carson outlined.

SPEAKER_02: We're definitely on the same page with that. Okay. All right. I'm going to get to just your latest thoughts on the precious metals in just a second. But one of the things, I think we've talked about this before, but we're starting to see kind of back to the struggling consumer, not just folks relying on buy now, pay later, and I think you also said home equity loans, which are harder to take out now just because they're a lot more expensive than they were back in the Zerp era, but that we're seeing people pulling money out of brokerage accounts to pay their current living expenses. So they're basically stealing from their future to just get by today. How big of a warning sign for you is that, that we're at that stage here where people are now finally, they're rating the future kitty.

SPEAKER_00: Well, I think it should be viewed as a meaningful warning sign because it also belies this notion that it's just the low end of the consumer that's really under stress. The low end consumer hardly has a

bank account. He sure as hell doesn't have a brokerage account. So when JP Morgan comes out with a study and says their customers are taking money out of their brokerage accounts, this isn't you know, people who are necessarily living paycheck to paycheck in the way you think about low-income consumers, this is a little higher up the income spectrum and therefore should absolutely be a shot across the bow about, you know, how real that affordability issue is for a lot of people. And I think, you know, this, it turns out was the only thing that mattered for the election. I'd been doing this chart just really simple, adding the mortgage rate to the gasoline price. And I just called it the misery index. The mortgage rate was 7.2 or 7.4 or wherever it got up to. And gasoline prices, 5. You were over 12. It actually got higher than during Biden, during the COVID inflation, which makes sense when you think about it. prices never came down. It's not like after 2022, suddenly prices came down. They've just gone up at a slower and slower rate. So this affordability issue has been really painful and in your face for not just low end consumers, but everybody experiences it. I mean, I don't have, it's not a crisis for me, but I notice when I go to the grocery store now that You know, I'm trying to estimate when I get to the register, how much it costs and I round up a lot aggressively and I'm still too low by the time they run it up. And then I'm looking at the receipt, like, how the hell did it cost that much? And you're just blown away by how much prices have gone up. And that was the issue. And I think that it just wasn't taken seriously enough by the powers that be. But this is not going away, I guess is the long story short, is you're seeing these signs of stress and the only thing that's going to get them relief is either wage growth that is so substantial that it overtakes all of that and we haven't seen that yet. Right. And that's the goal of the administration, run it hot, get that going, but we haven't seen the cavalry ride to the rescue yet. Yeah. or alternatively get real disinflation in goods and services, but that's only going to happen if you have a massive economic slowdown and nobody wants that. That's only good for you if you keep your job. Exactly. Then you're back in that circle of, well, what are my wages? I'm unemployed. I have no wages. Steph, this makes me think of the system being really vulnerable.

SPEAKER_02: to a bear market in assets. And the reason why I say that is to your earlier point about the very rich, or at least let's say the affluent, the quite affluent, top 10%, 15% of households, they're really keeping the

average spending up. And they can continue to afford to do that because asset prices have more or less been on a one-way ride for a long time. We had a rough year. in 2022. But really, since then, before that were a bunch of years of the market doing great. And then since then, the market's been up double digits every year, close to 20 for the past four years, 20% per year for the past four years. So for them, I can keep spending at this because my Nvidia stock just keeps going up. So if there is a material If we do enter a bear market, which we will enter at some point in time, I'm not calling for one for 2027 folks, I'm just saying it will eventually happen, then you're going to have that negative wealth effect at the top and you're going to see a good chunk of retail spending get wiped off the table as those folks, they're still going to spend. They're not going to be destitute, but they're going to spend probably materially less than they're spending right now. To me, I think that's a really underestimated

SPEAKER_00: vulnerability right here where people don't realize how much of what's going on right now in terms of the numbers are propped up by that top cohort. You're nodding a bit as I'm saying this, so I think are we like-minded here? Well, I would take it even further and maybe I'd go off the deep end here, but I would say basically the entire economy is resting on the stock market. When you think about AI, You know, at first they were borrowing, then they were running through, you know, free cash flow. Now they're issuing equity. So, you know, they need this vehicle to keep moving and moving forward rapidly to fund all of that expenditure. And with this, you know, entropic circular financing thing, they need those gains to keep. Coming through so they can keep their earnings going and keep shareholders happy. And, you know, the, the wheels have to stay on the bus here. Yeah, so that's the corporate sector. You talked about the, you outline the consumer situation beautifully. State local governments, their pensions are underfunded still over 3 trillion between 3 and 4 trillion underfunded. And that's where the market, you know, that's where the market at all time high is here in Europe. Yeah, so you talked about a bear market all of a sudden state local funding. They are immediately forced to cut all their spending raise taxes and start funding those pensions because they're already having to make contributions to keep those in any kind of solvency. So. That's going to be a huge disaster and I think I regaled your audience with this statistic before, but after the financial crisis in 2008-9, we had a

total destruction of the public pension system, not surprisingly, that was taken down with the stock market. It took the state and local sector of the economy four years before it stopped being a drag on GDP. Four years, they were cutting spending so much that it was a drag on total GDP growth. That was in 2008. The magnitude of the bubble, if I could call it that and I will, today is so much bigger and the leverage behind it is so much bigger. That's the state and local government. Then you get to the federal government, which will suffer the blowback from the state and local government because they're going to be left the PBGC and all these other, you know, to bail out whenever they can on the pension funds. But then they won't be getting their revenue. And so not just revenue from taxes because the economy is slowing, but they don't get their capital gains tax receipts, which have been voluminous. So it's the. the entire economy would suffer so much in just a typical bear market in ways that I don't think people have really contemplated at all. And that's why I think it's inevitable that the Fed then has to re-expand its balance sheet. I mean, it started QE after the global financial crisis. And again, we're looking at much more leverage. much lower quality debt. It's not just that the debt is higher, it's much lower quality than it was back then. I think in the lead up to the crisis in 2007, a third of the investment grade companies were triple B rated. Today, 56 percent of the investment grade is triple B rated. Then of course, now you've got you know, levered loans, which you didn't have and you've got private credit and all this other stuff that presumably since it's unrated, you know, who knows what the quality is of this. So I do think, I mean, I hate to sound like, you know, I'm forecasting the end of the world, but they, you know, you can't just, we can't pay glib lip service to the prospect of a bear market as if, oh yeah. that'll be healthy. People like to say, oh, it'll be healthy because then we'll cleanse the excesses and we'll be able to get back in there and it'll be wonderful. It's going to be brutal in a way that we haven't experienced. If you're a bear investor looking to deploy your dry capital when there's blood in the streets. To a certain extent, you're saying that you'll probably have a phenomenal opportunity, but be careful what you wish for. That's a world that's going to be not fun to live in for pretty much everybody while it's going on. Yeah, I definitely think it's hard to root for the opportunity to be able to actually pick up stocks at reasonable valuations because the The backdrop against which that happens will be extremely unpleasant and, you know, you have talked a lot. To your credit

about the social consequences of something like that risks around it. And I think that's not to be discounted at all. I mean, I hate to get dark like that, but that's a very real possibility. Okay. Well.

SPEAKER_02: Let's cross our fingers and hope that that reckoning doesn't come anytime soon, but I think we realize it is more like a sort of Damocles where you just don't know when the thread is going to snap, and it could be soon. So A, have some positioning today, folks, just in case if it does happen sooner than later, you're not completely surprised by it. And I'm going to get to Golden in just a second and your allocation update, Steph. Real quick, just two things. I don't want to get distracted by this, but we've been talking about some of the risks of AI. I didn't even bring up the whole Jensen Huang affair thing that's going on with the Chinese spy. Do you have any quick soundbite on that other than just ...

SPEAKER_00: crazy and we'll see what happens. Well, my favorite was the Babylon Bee this morning that had a picture of Eric Swalwell saying, oh my god, I didn't know that the Chinese spy was seeing other people. That's my two cents on it. No, we live in a really scary time with this.

SPEAKER_02: espionage. I mean, I assume that he genuinely had no idea. Why would he? That's what he's saying. Who knows? The crazy thing though is just, sorry to jump in and editorialize, but one, it just shows how many risk factors there are here that we just don't generally appreciate. So NVIDIA, probably most important company in this ecosystem. I think it's still the largest company by market cap. Now all of a sudden may undergo an investigation. Did it compromise American interests with China? There's all that angle. Will Jensen keep his job as CEO? If he got ousted as CEO tomorrow, that probably would have a pretty negative market impact on this. But then there's also the think about, what if he gets divorced? And then his wife ends up with 80 billion or something. And what if she starts selling that? There's just all these things we haven't thought of. And we look to these guys, Jensen Wang, Sam Altman, Dario, whatever he ever pronounced his last name, as like, okay, you are the guys who are going to build this AI ecosystem but also make sure that it doesn't kill us, you're going to make sure that it doesn't do all sorts of unethical things, and you guys are human and you're so human that you can be compromised by a

Chinese spy. We're asked to place our trust in these people and the big question is

SPEAKER_00: At the end of the day, we kind of have to place our trust in somebody, but these people are human. It just opened so many more doors of risk than we generally appreciate. I was just thinking Peter Atwater would have a field day with this because it really is just the ultimate hubris. When you saw that girl ask Jensen Wong to sign her bra or whatever it was, You know he entered a different level where of course he was probably thinking it well now I can have any woman I want you know and and they get you know into that League where it just he's not thinking about the business and the possibility that someone is actually trying to gather information from he's just so Excited about the fact that now he's this you know superstar and to be honest. It's probably not the starlets They're probably the least of it. It's more like

SPEAKER_02: the heads of state that are whining and dining him. Anyways, it just shows there's so many more risks here than we generally take into account on a day-to-day basis. Folks, that's why black swans exist. At the intro here, I talked about how the new CPI data is hammering the precious metals today, not to be unexpected on a day where the market thinks that the risk of the odds of more rate hikes has now leapt. I take it, though, that's not impacting in any way, shape, or form your current allocation to them. If it is, obviously let us know. Are you still pretty much in the precious metals, short-term treasury, keeping some dry capital there, earning a little bit of return, and nibbling on some other energy and hard asset plays?

SPEAKER_00: it's brutal to watch. I have real indigestion today because I thought we had really turned the corner and my reading of the election results was that it's just hugely bullish for the precious metals. Sorry, let me interject just so you can include this in your answer. That being said, today's sadness, do you think the bottom is in in the near term here with the precious metals. So yeah, they're getting beaten up today. But do you think we're going to go back to seeing, what was it, 3,800 gold or whatever it hit before it bounced? Yeah, I don't think so. I think obviously we've still got the PPI on Friday, which not as important as the CPI. I think today was the

real pain day in terms of hysteria about inflation that's stale. So I wouldn't really expected to go substantially lower or lower. I think today is probably the worst of it. And then we should really start to pick back up. I think the macro case for gold just got so much stronger. And you continue to see China buying hand over fist. So nothing has changed in terms of the major global de-dollarizers are still back to that. handbook. So I do think that it looks very good, and it's just frustrating to see it get beaten up like this for what I would view as absolutely no reason, or maybe a misapprehension about what the true outlook for inflation is in the next few months, or more importantly, the outlook for Fed tightening, which I think is what's really driving this more than anything. with the predictors that we're getting the quarter rate hike most likely in December? I think if the data continues as it has, yes, we probably will. But we'll see what the next month brings. I wonder, is there another CPI before the next Fed meeting? I have to look at that. There may not be. Let's see.

SPEAKER_02: I don't know off the top of my head, but obviously they'll have a lot more indicators coming in by then. Okay, but they'll largely know it. I mean, they've got early indicators that they watch, right? And it'll be interesting to see what that payroll report looks like because this payroll report struck me as a real outlier, but we'll see. We'll see, yeah. And also too, I think the big thing will be oil. And as we've talked about oil over the past week, gone down materially and I don't think that's too much factored in. Well, it's not factored in at all to the October CPI. So if, big if, but if oil stays here, goes even lower, certainly if there's news on either war going on here and there seems to be some traction on both to try to push a little bit harder towards some sort of resolution, which we can all hope for. But that obviously could change the game too. All of a sudden, there's some MOUs signed with Iran and oil prices dropped to the high 60s. Maybe we don't get a rate hike then, but we would need to see all that I think before we ratchet down our expectations. Absolutely. Then we'll get another Michigan survey with the inflation outlook on the part of consumers, which will be interesting.

SPEAKER_00: there's a lot of data and then we get income and spending and the PCE deflator along with that. So they'll have plenty of data to look at. I just think maybe they do another 25 in December, but I hate to say it

because I didn't think they should have tightened it in the first place, but this is not going to be a material tightening cycle in my view at all. All right. And just wrapping up here, if you had to pick

SPEAKER_02: a word or a phrase to describe your outlook for 2027 from an investor's point of view, what would it be? Buckle up. Buckle up. Okay. All right. Well, look, Steph, it's always so wonderful getting the chance to talk with you. Thanks so much for coming back on here. Folks, please join me in thanking Stephanie by hitting the like button and then clicking on the subscribe button below, as well as that little bell icon right next to it. Steph, for folks that would like to follow you and your work in between now and your next appearance on this channel, where should they go? And tell them about the offer that you're making to retail customers now.

SPEAKER_00: I almost forgot that would have been terrible. So you go to macromavens.com and for first time subscribers, you can get, if you sign up now before the end of the year, 50% off. It's half price for one year's subscription. Wow. That's very generous. Yeah. So, I mean, I just feel like, like I said, buckle up. There's going to be a lot coming at us. There has been over the last few months, but I think that The market gyrations are going to get pretty wild. And it would be helpful for people to have someone at least trying to give them the big picture low down of where we're headed so they can be prepared. And I'd love to be the person to do that for them. So macromavens.com. And if you go to how to subscribe and it's all laid out there. And the promo is macro 50, macro 50.

SPEAKER_02: and please subscribe and hopefully it won't be a wild year, but I suspect strongly that it is going to be challenging in many respects. Alright, Stephanie, edit this. I'll put up the link both to your website and the macro 50 there on the screen so folks know exactly where to go and what to enter. Is it macro 50? Yes. Yeah. Okay, great. Thank you. Yes, macro 50. No, no, no. So if you're one of the army of folks that just hammer me repeatedly in between Steph's appearances saying, I need more Pomboy when Stephanie coming back on. This is a fantastic opportunity that Stephanie is making available to you. So definitely go there and consider buying her excellent research at an amazing price. So with that, So definitely go rush and do that. If you would like to get some help in terms

of just sort of thinking through how to take actions in advance of next year, especially if it proves to be a buckle up year like Steph is warning us, if you're reading Steph's analysis and saying, okay, I want to put some of this into action in my portfolio, if you would like to get professional help with that, consider talking to one of the professional financial advisors that Thoughtful Money endorses. These are the firms you see with me on this channel regularly. to schedule a free, no obligation consultation with them. Just fill out the very short form at thoughtfulmoney.com. Only takes you a couple of seconds and you will end up getting bespoke, personalized advice from these firms for your specific unique financial situation, given your goals, given your assets, your debts, and given your risk tolerance. Again, it's all free and there's no obligations involved. So again, run to thoughtfulmoney.com to set that up. Steph, It's always so fun to catch up. I heard Wilhelmina snore just a couple of times in there, but I trust she's doing well. She is sound asleep. She didn't find that nearly as entertaining as you and I did, I think. Is she dreaming of getting turkey leftovers in a little bit at Thanksgiving? Oh, wow. Yeah, she definitely will be happy to do that. Do your dogs eat all that good stuff? Do they get to participate? They will eat anything and everything I can put anywhere near their mouths. Oh man, I love it. The best. All right, we'll give her a scratch from all of us. People are always asking for a Wilhelmina update, so they'll be glad to hear that she's well and about to get well fed. Always. All right, Steph, we'll see you in a month and have a great time in between now and then. You too. Thanks a lot. Happy Thanksgiving in the meantime. That's right. Same to you. Same to everybody watching this. Beyond that, everybody, thanks so much for watching.